

Inditex: valuation and accounting quality

DCF valuation, cross-check with peer multiples, Monte Carlo simulation and accounting-quality screens

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Educational project. Not investment advice. All hypotheses are the author's; third-party data is cited with its source. Fiscal year N ends on 31 January N+1.

Bottom line. On the assumptions of this analysis, Inditex is worth **€42.9 per share** (scenario range €32.7-51.7) against a market price of **€54.38**. Peer multiples (median €42-45) point the same way, and only 8.9 % of 20,000 simulations exceed the price. The gap to analysts' price targets (mean €59.5) is mostly the **discount rate**: today's price implies a cost of capital of about 7.5 %, versus 8.97 % in this model. This is an excellent business (ROIC ≈40 %, net cash ≈€10.4 bn, no accounting red flags): the question is not its quality, but how much is paid for it.

€42.9

Value per share, DCF Base
(€32.7-51.7)

€54.38

Market price, 7 Oct 2026

€42-45

Peer multiples: median of P/E
and EV/EBITDA

8.9 %

Probability that value exceeds
the price (Monte Carlo)

Method	Value per share	Range
DCF: Low / Base / High scenarios	€32.7 / €42.9 / €51.7	—
Peers: forward P/E (median)	€44.9	€36.7-79.4
Peers: EV/EBITDA (median)	€42.2	€30.3-76.9
Monte Carlo (median)	€43.0	€32.9-57.3 (90 % of runs)
Price target of 24 analysts (mean)	€59.5	€41.5-65.0

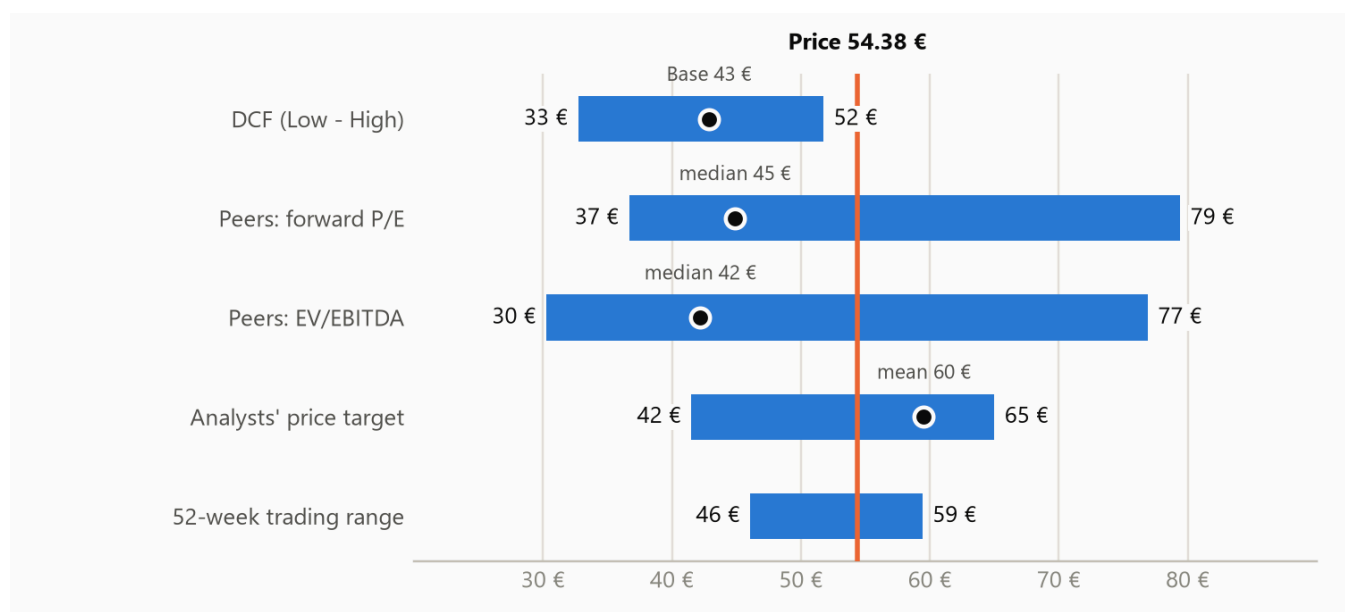


Figure 1. Value per share by method against the market price (football field). Dot = central value.

1. The business: profitable, cash-rich and growing

- Sales of **€39,864 m** in fiscal 2025 (+3.2 % reported; **+7.0 % at constant currency**). The first half of fiscal 2026 grew +7.6 % (+9.2 % at constant currency).
- Margins at record highs: EBIT margin **20.1 %** (15.4 % in 2021) and net margin 15.6 %. ROIC 40 % and ROE 30 %.
- Very strong balance sheet: €10,960 m of cash and investments, almost no financial debt and a cash conversion cycle of -99 days (suppliers fund working capital).
- Capex has doubled (from €1,415 m in 2022 to €2,712 m in 2025) and the company guides about €2,500 m for 2026. Dividends exceed free cash flow because of its extraordinary-dividend policy (60 % ordinary payout).

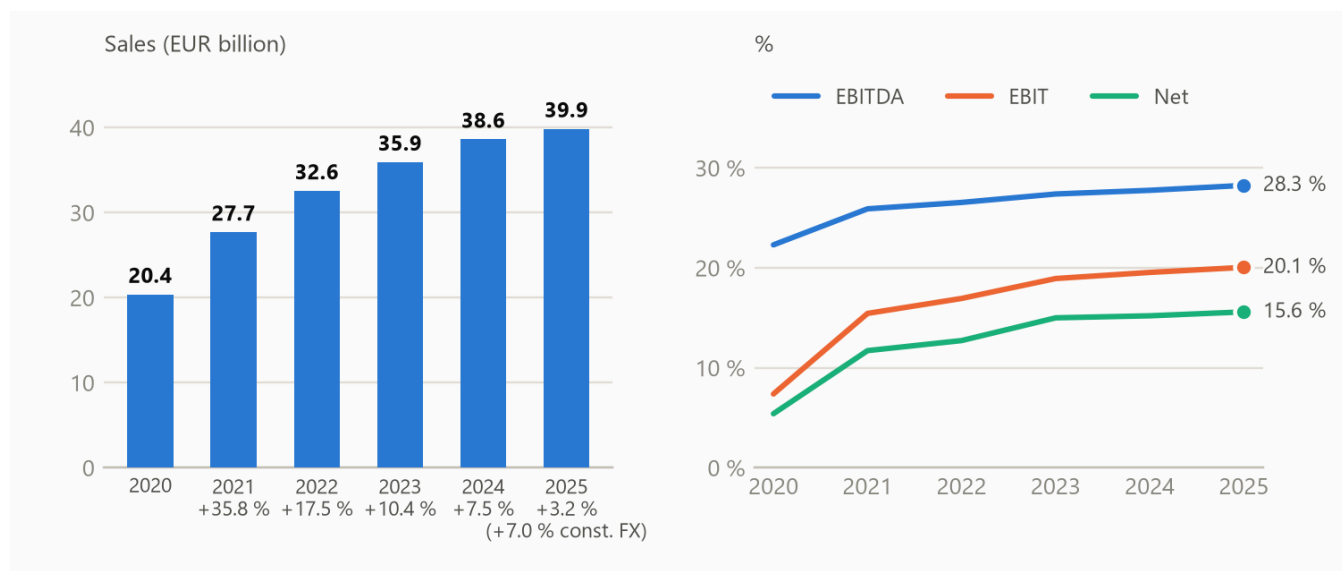


Figure 2. Sales (EUR billion, with annual change) and margins on sales, fiscal years 2020-2025.

2. The DCF valuation model

The free cash flow to the firm is projected for 10 years (fiscal 2026-2035) and discounted to 31 July 2026, the date of the latest published balance sheet, with a Gordon terminal value. Store rent is treated as an operating cost, so it is not deducted again as debt (IFRS 16).

Assumption	Value	Basis
Risk-free rate	3.57 %	10-year German Bund (30/09/2026)
Beta	1.0	Own weekly 5-year regression: 0.95-1.08 depending on the index
Equity risk premium (ERP)	5.4 %	Damodaran: mature market 4.17 % plus country risk weighted by sales (author's estimate)
Cost of capital (WACC)	8.97 %	No relevant financial debt: WACC = cost of equity
Perpetual growth (g)	2.5 %	Between the ECB inflation target (2 %) and expected nominal growth
Sales, Base scenario	+7.5 % (2026E) to +3 % (2035E)	H1 2026 +7.6 %; gross space guidance ≈+5 %
EBIT margin, Base scenario	20 %	2025: 20.1 %; consensus up to 21.6 %; Bankinter expects stability
Capex, Base scenario	5.8 % to 5.0 % of sales	2026 guidance: ≈€2,300 m ordinary + €200 m extraordinary

From cash flow to value per share: enterprise value €121,063 m (the terminal value is 58 %) + net cash €10,398 m = equity value €131,461 m, i.e. €42.19 per share at 31 July and **€42.87** rolled forward to 7 October.

3. What drives the result

The value is far more sensitive to the cost of capital than to operating assumptions: the equity risk premium (€41-52) and beta (€40-51) move the result more than ±1 point of sales growth (€40-46) or ±1.5 points of margin (€40-46). The beta of 1.0 comes from an own regression; the 0.90 published by Investing.com or the 0.79 sector beta would give higher values.

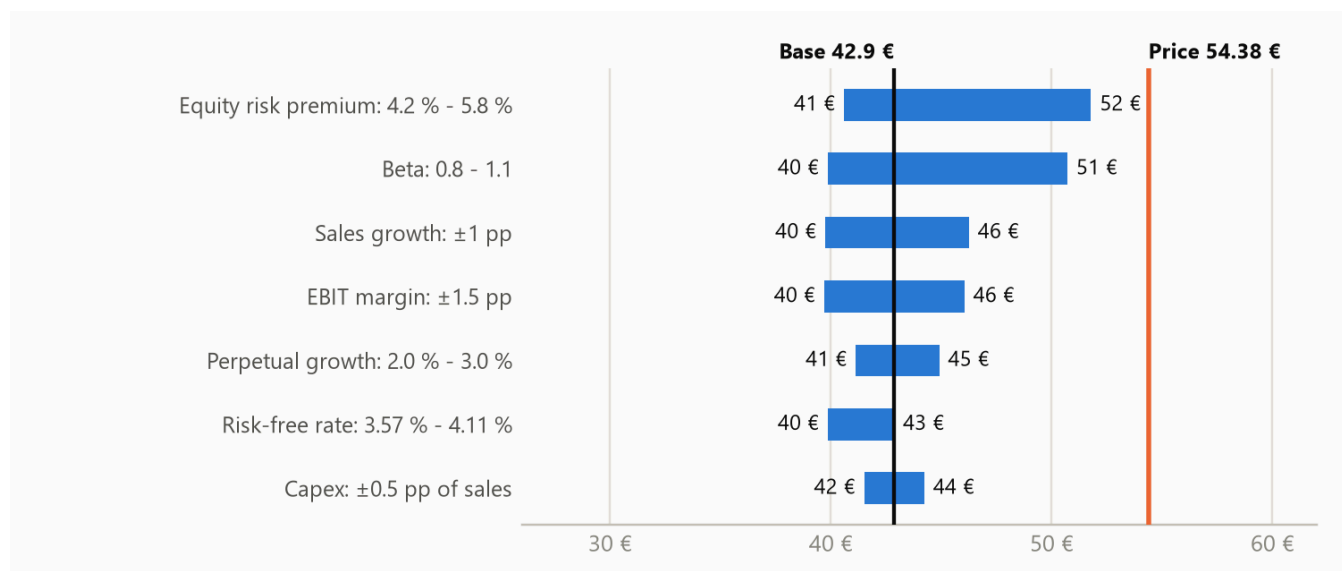


Figure 3. Value per share (Base scenario) when changing one assumption at a time between its low and high end.

4. Cross-check with the market

Peer multiples. H&M, Fast Retailing and Next, from a single source (Yahoo Finance, 7 October 2026). Inditex trades at a 21 % premium to the peer median forward P/E (24.6x vs 20.3x), reasonable given its growth (9 % vs 0.3 % at H&M) and net cash. The median (€42-45) matches the DCF; the mean (€50-54) is higher because it includes Fast Retailing, which grows ~22 %.

Analysts. Mean price target €59.5 (24 analysts, €41.5-65.0). With their sales and margins but this model's cost of capital the value would be ~€47.8, and at a 7.3 % cost of capital ~€63: the discrepancy is mostly the discount rate.

Monte Carlo. 20,000 simulations of the DCF varying beta, equity risk premium, risk-free rate, g, growth, margin and capex within reasonable ranges: median €43.0, 90 % of runs between €32.9 and €57.3, and an **8.9 %** probability of exceeding the price. These probabilities depend on the ranges chosen, which are the author's estimates.

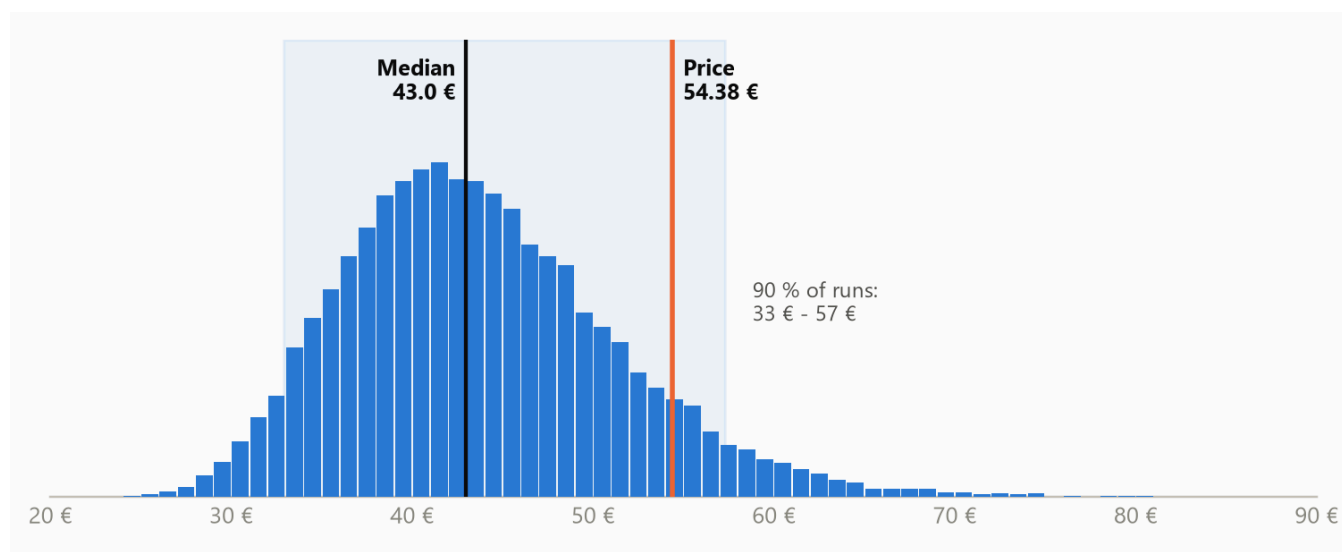


Figure 4. Distribution of value per share across 20,000 simulations. Shaded band: 90 % of runs.

5. What would have to happen to justify the price

A reverse DCF (which assumptions make the value equal to the €54.38 price?) points to three alternative paths, each on its own: (i) a cost of capital of about 7.5 % instead of 8.97 %; (ii) sales growth about 3.1 points higher every year than in the Base scenario; or (iii) delivering the analysts' consensus sales and margins (EBIT up to 21.6 %) with a cost of capital of about 8.1 %. None is impossible, but each requires being optimistic about something this analysis treats prudently: today's price already discounts a good outcome with little room for disappointment.

6. Accounting quality: Altman and Beneish

The **Altman Z''** (financial distress risk) is between 4.6 and 6.0 in 2020-2025, far above the safe-zone threshold (2.6). The **Beneish M** (signs of earnings manipulation) is between -2.74 and -2.95 in 2021-2025, below the alert thresholds (-1.78 and -2.22), and between -2.49 and -2.70 after adjusting for IFRS 16, which inflates operating cash flow. The key signal is that Inditex generates more cash than accounting profit. These are screening tools, not proof: a clean result for Inditex was expected, and the point of the exercise is to apply them and interpret their limits.

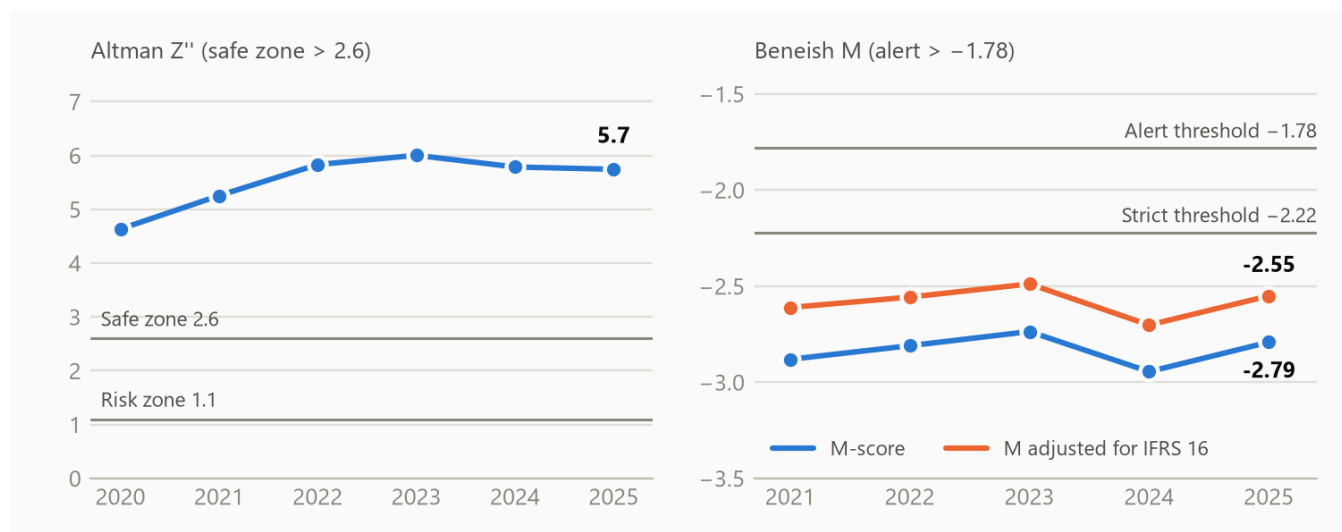


Figure 5. Inditex Altman Z'' (left) and Beneish M-score (right).

7. Limitations

- Assumptions and ranges are the author's estimates (in particular the sales-weighted risk premium, the scenarios and the Monte Carlo); a DCF returns a range, not an exact number, and the terminal value is 58 % of the total.
- The second half of fiscal 2026 is valued as half of the annual cash flow, which ignores cash seasonality.
- Only three peers, with different fiscal calendars and countries. Analyst-consensus labels were interpreted as fiscal years ending in January.
- Altman and Beneish were designed on other companies and another era.

Sources: Inditex annual accounts and results ([inditex.com](https://www.inditex.com)); Yahoo Finance; Investing.com; datasmacro; Damodaran; ECB; Bolsamanía; Bankinter. Code, data and the Excel model with every figure and its source: github.com/martinpeinado48-cmyk/inditex-valuation.